Takeaways from Meeting with CFO: Executing the Playbook

Ticker: SLCE3 BZ | **Target Price:** 22.00 (BRL) | **Rating:** NEUTRAL

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We hosted a meeting with SLC's CFO, Ivo Brum, and IRO, Alisandra Reis. Overall, while the company is navigating a commodity cycle trough (which should linger), all the other factors, encompassing yields, weather conditions, production costs, and growth, appear to be advancing as the company planned. Our main takeaways:

Soybean and cotton prices should remain under pressure. The soybean market could see a reduced planted area in the US next year, but higher production in Brazil and Argentina suggests continued oversupply in the coming years, with no evident catalysts for a price recovery. Cotton prices remain pressured as Brazil increases supply amid weak market liquidity and macroeconomic uncertainties, with gov't subsidies possibly shielding less-efficient producers from making necessary adjustments. Still, the weaker BRL should help sustain realized prices for both. Corn prices, on the other hand, have a more favorable outlook due to strong domestic demand in Brazil, reduced planting in Argentina, and tighter global S-D. For Brazilian farmers not fully hedged, higher prices and improved margins in the 2024/25 season should ensure 2nd crop areas are planted.

There is a positive outlook for 2024/25 yields, while 2nd cotton crop planting is the main point of attention. Soybean planting was delayed relative to previous seasons, but favorable weather conditions are now in place and expected to persist. This should help SLC meet its yield budget of 3,976 kg/ha, and we even see upside risk if the weather remains favorable. The main challenge in the 2024/25 crop appears to be for 2nd cotton crop areas, which will have a narrower planting window in Mato Grosso state due to the delayed soybean planting, and chances of higher-than-usual rainfall levels in January (SLC's soybean harvesting this season should start around January 10). We expect SLC's 2025E cotton gross profit per hectare to be about 4x higher than that of 2nd corn crop areas, so planted area mix will be important.

The elements behind flattish profitability levels in 2025/26. In its latest earnings call, SLC's management mentioned expectations that profitability in the 2025/26 season should be in line with 2024/25. The elements behind this view are: (i) commodity prices that should remain pressured, (ii) a favorable BRL for exporters, and (iii) production costs that should not see material contraction from here (SLC is likely already outperforming the industry with an additional 5% YoY decline in production costs per hectare in the 2024/25 season). Fertilizer for the 2025/26 soybean crop has been secured at favorable terms, but this alone should not materially drive down production costs. Other input prices, particularly crop protection, are not expected to decline further.

Growth should continue through leasing and land acquisition opportunities… Leasing opportunities remain attractive, with competitive costs and limited market activity from competitors. New agreements are expected to generate an IRR of at least CDI + 5%. The company sees strategic sense in sustaining a balanced portfolio of leased and owned areas, and conditions for land acquisitions also seem favorable. SLC should also continue to invest to gradually increase the irrigated planted area in Bahia state (investment of ~R$25k/ha), which, with lower risks for yields and improving logistics, should eventually allow land prices in the region to converge to mature areas in other states, at ~R$90–100k/ha (SLC has recently acquired the remaining 18.8% stake in LandCo for ~R$50k/ha).

… but additional avenues (including corn ethanol) are also being studied. SLC is comfortable about a leverage ratio of up to 3x while its investment cycle is ongoing, as FCF generation should significantly improve whenever growth is paused. Thus, with a strong balance sheet (2025E ex-IFRS16 leverage ratio of 1.5x), the company is continually evaluating opportunities to sustain its growth pace. From a strategic standpoint, SLC is already exposed to food (grains) and global economic activity (cotton), and it could make sense to add a third, less-correlated risk factor to its portfolio. Corn ethanol could be an option, although the company still seems cautious about potential mismatches between corn supply and ethanol demand. Any entry would require a partner well-versed in the sector that would operate the industry. Other than that, and arguably even more likely and synergic, SLC could expand its forestry planted area as a way to add exposure to growing demand for biomass from new corn ethanol plants in Brazil.

Our take: From strategic and execution standpoints, we view SLC's approach to the cycle as flawless. It has sustained a strong balance sheet that should allow it to navigate cyclical lows without hampering its execution capacity, while also continuously expanding the planted area to capitalize in a future upcycle. 2025 is also shaping up to be a better year due to favorable FX, lower production costs, and a positive outlook for the crop (which was reinforced during the meeting). Still, we continue to believe that lackluster soybean and cotton prices should limit the room for positive earnings revisions in the foreseeable future, which is the main reason for our Neutral rating.

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